

RESERVE BANK OF INDIA (RBI)

MASTER DIRECTION ON KYC & ANTI-MONEY LAUNDERING (AML) STANDARDS

Ref: RBI/DNB/2026-27/01

Issued: 1st January, 2026

Applicable to: All Scheduled Commercial Banks, Payment Banks, and NBFCs.

1.0 LEGAL FRAMEWORK AND PREAMBLE

In exercise of the powers conferred under Section 35A and Section 35K of the Banking Regulation Act, 1949, and in compliance with the Prevention of Money Laundering Act (PMLA), 2002, the RBI mandates strict adherence to the following standards. Entities failing to comply shall be subject to penalties under Section 47 of the PMLA.

2.0 CUSTOMER ACCEPTANCE POLICY (CAP) & PEPs

2.1 Banks must adopt a strict, digitally recorded "Risk-Based Approach" for all new customer acceptances.

2.2 For Politically Exposed Persons (Domestic and Foreign), a mandatory Enhanced Due Diligence (EDD) report must be prepared by the compliance team and approved by the Board of Directors before account opening.

2.3 Banks are explicitly prohibited from onboarding shell corporations where the ultimate beneficial owner (UBO) cannot be ascertained.

3.0 CUSTOMER IDENTIFICATION PROCEDURE (CIP) - MANDATORY DIGITAL KYC

3.1 Video-based Customer Identification Process (V-CIP) is the primary and mandatory channel for all new individual account openings. Physical verification is strictly prohibited except for senior citizens residing in rural areas with limited internet penetration.

3.2 All identity verification (PAN/Aadhaar validation via UIDAI) must be completed digitally within 24 hours of the application submission date.

3.3 Corporate Accounts: Beneficial ownership (UBO) identification is mandatory for any corporate entity holding more than 10% of shares or voting rights. This data must be uploaded to the Central KYC Registry (CKYCR) within 48 hours of KYC approval.

4.0 RISK CLASSIFICATION AND REAL-TIME MONITORING

4.1 Banks must deploy automated, AI/ML-driven risk-scoring engines for all customers upon onboarding. Manual risk assignment by relationship managers is strictly prohibited.

4.2 The risk categories (High, Medium, Low) must be automatically recalibrated daily based on real-time transaction velocity and value patterns.

4.3 Banks must maintain an up-to-date, real-time transaction monitoring system (TMS) that flags suspicious activity instantly, with zero manual intervention for initial anomaly detection.

5.0 PERIODIC UPDATION OF KYC (STRICT DEADLINES)

5.1 All banks shall strictly adhere to the following updation cycle:

5.1.1 "High Risk" customers: KYC records must be updated every 2 years.

5.1.2 "Medium Risk" and "Low Risk" customers: KYC records must be updated every 5 years.

5.2 Banks must implement automated digital channels for KYC updation (e.g., mobile app-based re-verification). Communication to customers for pending updation must be via email and SMS, sent 60 days prior to due date.

6.0 RECORD RETENTION AND DATA SOVEREIGNTY

6.1 All KYC records, transaction history, and audit trails must be preserved and readily retrievable for a minimum period of 8 years following the date of closure of the account.

6.2 Banks are mandated to store all customer data within Indian borders on servers located in India. Cloud storage is permitted only with RBI-approved Indian data centers.

6.3 Electronic copies of all documents in machine-readable format (e.g., JSON, PDF/A) are mandatory. Physical storage of documents is not acceptable for compliance audit.

7.0 REPORTING TO FIU-INDIA (STRICT TIMELINES)

7.1 Suspicious Transaction Reports (STRs) must be reported to FIU-IND within 24 hours of the transaction being flagged by the TMS system.

7.2 Cash Transaction Reports (CTRs) must be submitted daily in real-time via the FINnet 2.0 gateway. Delays exceeding 24 hours shall be treated as a severe infraction.

8.0 DATA PRIVACY, CONSENT & CONFIDENTIALITY

8.1 Banks must obtain explicit, written/electronic consent from customers for any processing or storage of their personal data (as per Digital Personal Data Protection Act, 2023).

8.2 Data sharing with third parties is strictly prohibited unless mandated by law. Contracts with data processors must be audited quarterly by an external agency.

8.3 A dedicated Data Protection Officer (DPO) must be appointed to oversee data privacy compliance.

9.0 PENALTY FRAMEWORK

9.1 Systemic delays in reporting to FIU-IND will invite an immediate penalty of ₹1 Crore plus ₹10,000 per day of delay.

9.2 Violation of mandatory V-CIP requirements for onboarding will invite a penalty of ₹5 Crores per instance.

10.0 CLOSING PROVISIONS

This direction shall take immediate effect. All banks are required to submit a System Audit Report (SAR) regarding the implementation of these changes to the RBI by 31st March, 2026.